

7 Takeaways Post K3 Release: Connect The Dots on Models, Cloud & Applications

Highlights (1) **Moonshot AI**: K3 is far from reaching upper limit in intelligence. ARR has fastest growth the next day; (2) More **T-parameters** China models (e.g. Qwen3.8, 2.4T) to come; (3) Updates from **Zhipu** and **Stepfun**; (4) **Compute** is focus on recent financing /KC Preview ([link](#)); (5)**Token Expenditure Index** remains soft; (6) **Video models landscape** do not see notable change;(7) **Tencent's** WorkBuddy gains traction; (8) **Reaffirm Buy on BABA's full stack capabilities**

In this report, we provide investors with data points on model pricing by companies, pricing comparison between China and US, model intelligence from Artificial Analysis, token consumption in OpenRouter, Token Expenditure Index trends and other industry data for analysis.

Closing the gap amid competition. Investors are surprised to see K3 ([link](#)) achieved new intelligence milestone and ranked at top positions in different metrics. According to Arena ([Exhibit 5](#)). This is the first time China takes the lead over US models in Frontend Code Arena vs early 2025 (DeepSeek-R1 is the last Chinese models came close with US models). Investors feedback is more about the closing of intelligence gap and anticipate more Chinese models ([Exhibit 2](#)) having T-parameter in coming months. Balance between intelligence and good to use amid supply constraints For Chinese models is expected.

Moonshot AI: Still far from the upper limit in model intelligence. ARR reached the fastest growth rate the next day. According to STAR Market Daily, President Mr.Zhang highlights (1) Scaling Law is valid. K3 is not the most intelligent model despite a big advancement is made vs K2.6; (2) It is still early to talk about the upper bound of model intelligence; (3) ARR experienced the fastest growth rate the next day post K3 release.

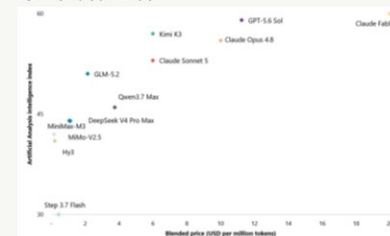
Latest strategies from Zhipu and Stepfun on industry trends. (1) **Zhipu**: (a) Scaling Law continues to accelerate across data, environment, RL and infra. (b) GLM-5.2 has less parameters vs K3. It can exceed K3 capabilities when scale to latter's level. Please refer to [page 2](#) for details; (2) **Stepfun**: During WAIC (a) agents become the atomic unit of productivity; (b) integration between AI and terminals is the next focus; (c) AI coding exceeds human; (d) Agent-to-Agent is the next internet

Compute is the focus on recent financing by AI Lab and Kingsoft Cloud Preview. Recent financing of AI Lab ([link](#)) (1) DeepSeek (USD7bn, Jun-26); (2) Zhipu (USD4bn, Jul-26 and (3) MiniMax (USD2bn, Jul-26). We view new funding can strengthen respective computing needs amid surging demand. For **Kingsoft Cloud**, we adjust our revenue slightly in 2Q, factoring in the supply constraints issues with capex spending happened more in Jun vs Apr/May ([link](#))

Token expenditure trends reflect highly cost efficient model is important. According to Silicon Data LLM Token Expenditure Index ([Exhibit 4](#)), the index continues to remain soft and ranged between 1.56 to 1.61the week of 12 Jul (vs 1.63 to 1.65 the week of 5 Jul), vs 2.04 on 31 May. Based on Artificial Analysis, China models are highly cost-efficient vs US models and API cost is a fraction vs US models ([Exhibit 3](#)) . We look into (1) Blended price vs Intelligence by models ([Exhibit 1](#)). The recent industry trends from US /China tech companies show the debate on Tokenmaxxing vs token spending means cost efficient models become increasing important in Coding and Agentic AI.

Video generation model landscape does not see to have notable change. According to Kimi's co-founder Mr. Zhou Xinyu, the current focus is model intelligence and video generation model

Exhibit 1 - Artificial Analysis Intelligence Index vs Blended Price



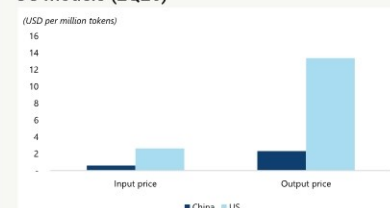
Source: Artificial Analysis, Jefferies

Exhibit 2 - Total parameters for different flagship models

Models	Total parameters
Kimi-3	2.8T
DeepSeek-V4-Pro	1.6T
Qwen3.7 Max	1.2T
GLM-5.2	744B
MiniMax M3	428B
Hy3	295B

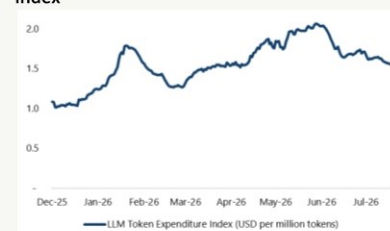
Source: Jefferies

Exhibit 3 - Blended prices for China models vs US models (2Q26)



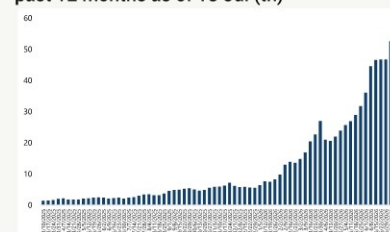
Source: Artificial Analysis, Jefferies

Exhibit 4 - Silicon Data LLM Token Expenditure Index



Source: Bloomberg, Jefferies

Exhibit 5 - Weekly token consumption over the past 12 months as of 13 Jul (tn)



Source: OpenRouter, Jefferies

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is not top priority at the moment. According to **Volcano Engine Conference** ([link](#)) in Jun, it released Seedance 2.5 and considers video

Continued overleaf ...

generation represents over half of MaaS revenue ([link](#)). On the other hand, **Kling** raised new financing be used for business expansion, daily operations, working capital, team development and others ([link](#)).

Tencent's WorkBuddy is gaining traction. On application side, we expect **Tencent's** WorkBuddy continues to gain traction. According to Analysys ([link](#)), it highlights operating metrics for WorkBuddy in the segment (Mar-26). These include (1) number of desktop monthly visits reached 8.85m; (2) WorkBuddy is ahead of Trae (ByteDance), QClaw (Tencent) and Qoder Work (BABA). On the other hand, BABA releases Meoo (diverse AI enterprise apps) during WAIC. For **Baidu**, it highlights a number of AI showcases such as Baidu Drive, Baidu Wenku and Xiaodu during WAIC ([link](#)). On the other hand, Kingsoft Office held AI Productivity Conference last week and released AI products Lingxi Professional and WPS AI Hub ([link](#)).

What's next to be anticipated ? These include (1) With model iterations happen in less than 3 months, we expect upcoming models for Qwen (Qwen 3.8, 2.4T), MiniMax (M3 Pro), Zhipu (GLM) and Tencent (Hy4) are to be anticipated. For BABA, it highlights Qwen3.8 is open weight model (total parameters 2.4T) which will be released in near term. Its Qwen3.8-Max-Preview model is available in Token Plan, Qoder and Qoder Work. It is also available in PC and mobile of Qianwen; (2) a number of companies are expected to achieve over USD1bn ARR in 2026 or early 2027: (a) BABA; (b) Zhipu; (c) MiniMax; (d) Kling; (e) Volcano Engine. We expect Kimi ARR is to be watched out post release of K3. We view **BABA to stand out on its full stack of capabilities with models, cloud, chips and applications.**

Zhipu: Key Takeaways from Conference Call

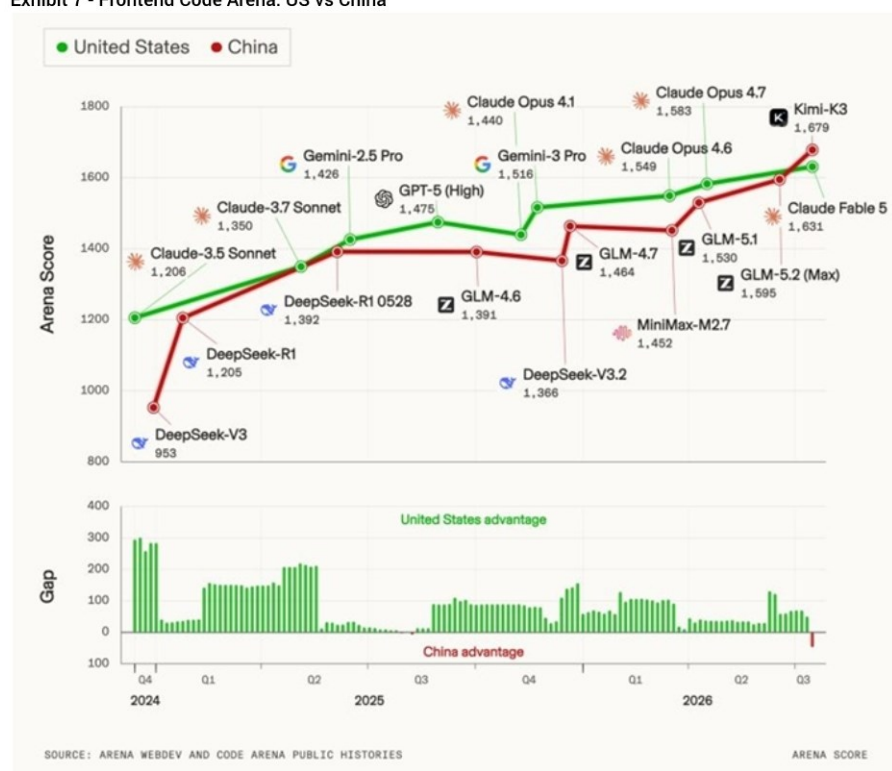
- **Scaling Law continues to accelerate.** This can be seen in breakthrough made by OpenAI and Anthropic heading towards AGI.
- **Thoughts on K3.** (1) K3 is successful in scaling and close to global frontier models; (2) GLM-5.2 has less parameters vs K3 ([Exhibit 6](#)). It expects to exceed K3 capabilities when it scales to K3 level
- **GLM series.** (1) **Feb-26:** GLM-5 vs GLM-4 series. It doubles no of parameters with pre-training of 30T tokens and adopts DSA architecture; (2) **Apr-26/Jun-26:** released GLM5.1/5.2 version. (a) GLM5.1 emphasizes on long horizon tasks; (b) GLM-5.2 extends to 1M context length and handles complicated coding work; (c) next version GLM-5.3 will have minor iterations and better coding experience; (d) next model series will have new architecture with bigger scale while maintain cost efficiencies
- **Multiple areas in scaling.** These include (1) data; (2) environment; (3) RL (Reinforcement Learning); (4) Infra. On data, it covers pre-training/mid-training and SWE scaling can automatically create coding agent environment. On RL, the use of SAO technology drives better accuracy vs GRPO optimization in particular long horizon tasks. On Infra, (a) ZCube vs Clos: it lowers cost by 33% and throughput by 15%; (b) LayerSplit: reduce KV Cache and increase throughput by 132%; (c) prefill-decode separation; (d) DSA+IndexShare enhances efficiency
- **Touch High.** On top of new models, other areas include (1) LLM-driven autonomous agent system (AAS) and (2) Recursive self-improvement (RSI)

Exhibit 6 - Comparison between GLM-5.2 vs K3

	GLM-5.2	Kimi K3
Total no of parameters	744B	2.8T
Activated parameters	40B, 8/256 experts	16/896 experts
Training Tokens	30T+ tokens	na
Contexts	1M: texts	1M: multimodal
Core architecture	DSA + Index Share	KDA + AttnRes + Stable LatentMoE
API price (cache/input/output)	RMB2/8/28 USD0.26/1.4/4.4	RMB2/20/100 USD0.3/3.0/15.0
Open source	Release weights under MIT	Release open weights on 27 Jul
Deployment	8 cards	64+ supernode
Speed	Average 60 TPS High Speed 450 TPS	Average 20 TPS

Source: Company, Jefferies

Exhibit 7 - Frontend Code Arena: US vs China



Source: Arena, Jefferies

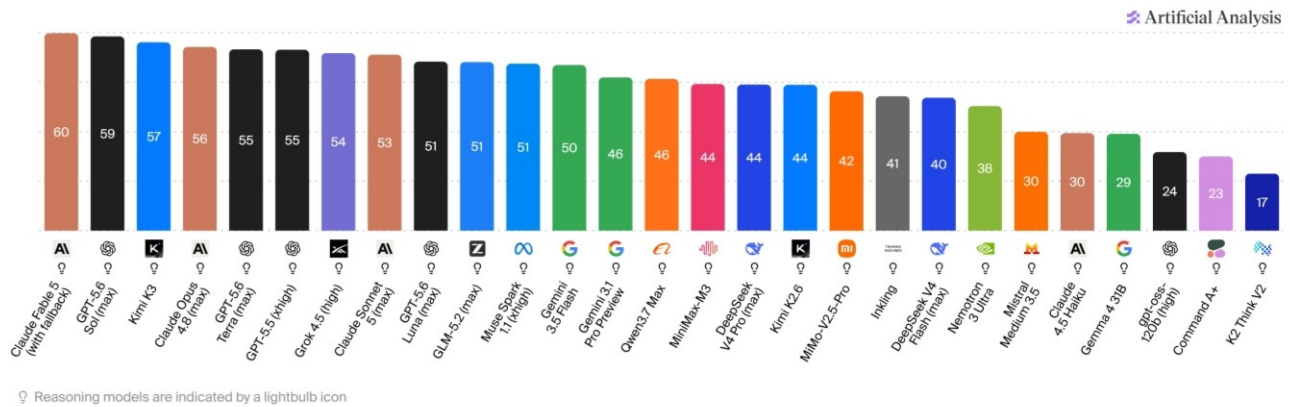
Based on Artificial Analysis, China models DeepSeek, Qwen, Kimi, MiniMax and Zhipu are closing the gap with US models in terms of intelligence. China models are highly cost-efficient on Mixture of Experts (MoE) architecture, linear attention, and MFU (Model Flog Utilization). According to 2026 Stanford AI Index Report (Apr-26), the top US model leads Chinese models by 2.7%. Separately, Anthropic (1503), xAI (1495), Google (1494), OpenAI (1481), Alibaba (1449) and DeepSeek (1424) occupy the top tier of Arena Elo ratings as of Mar-26.

China models are narrowing the gap with US models in terms of intelligence. On Input/Output API, China large models are highly efficient vs US models.

Exhibit 8 - Artificial Analysis Intelligence Index

Artificial Analysis Intelligence Index

Artificial Analysis Intelligence Index v4.1 incorporates 9 evaluations: GDPval-AA v2, r³-Banking, Terminal-Bench v2.1, SciCode, Humanity's Last Exam, GPQA Diamond, CritPt, AA-Omniscience, AA-LCR



Source: Artificial Analysis, Jefferies

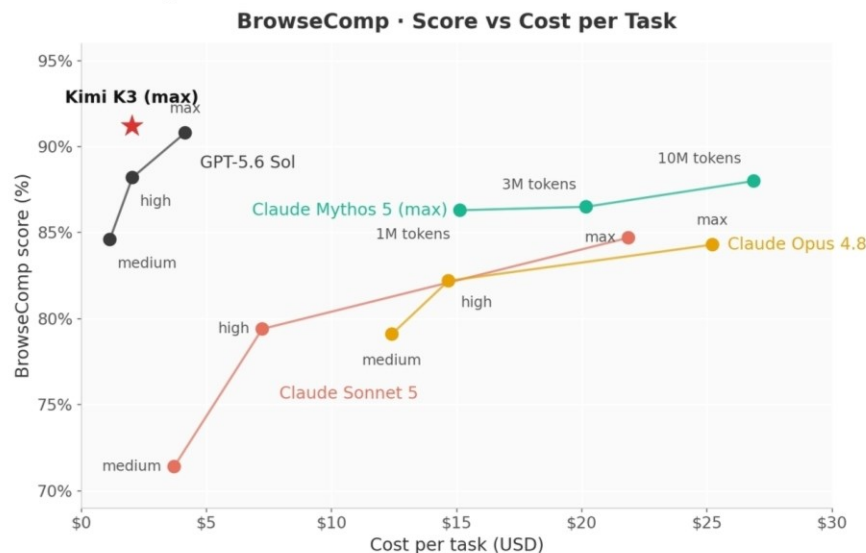
Exhibit 9 - Coding Cost Per Task Assessment: K3 vs Global Peers

Kimi Code Bench V2 • Score vs Cost per Task



Source: Moonshot AI, Jefferies

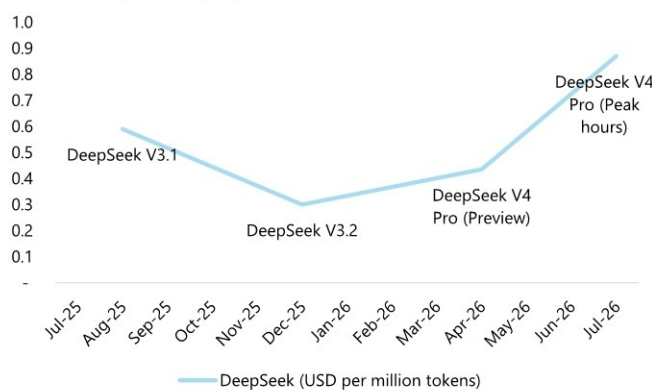
Exhibit 10 - Browsing Cost Per Task Assessment: K3 vs Global Peers



Source: Moonshot AI, Jefferies

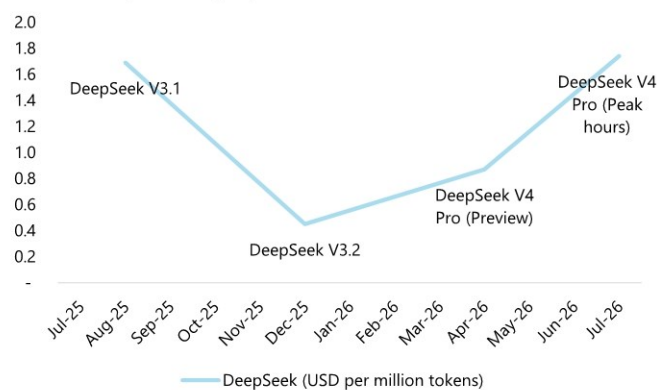
Model Input/Output Price By Companies

Exhibit 11 - DeepSeek: Input price



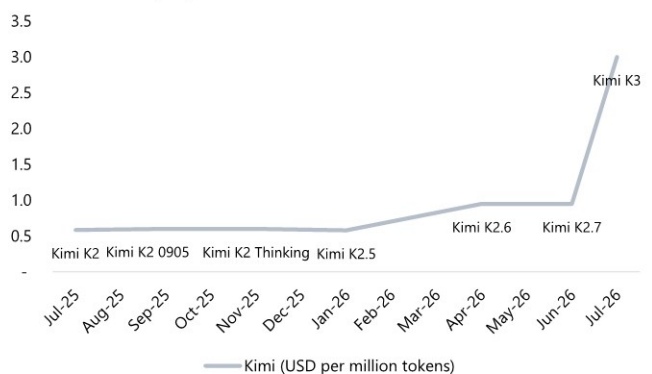
Source: Artificial Analysis, Jefferies

Exhibit 12 - DeepSeek: Output price



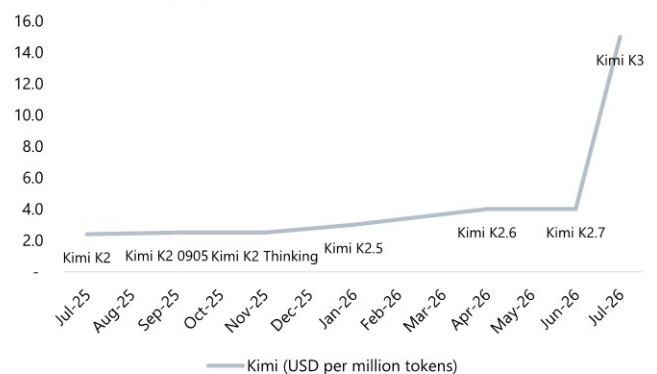
Source: Artificial Analysis, Jefferies

Exhibit 13 - Kimi: Input price



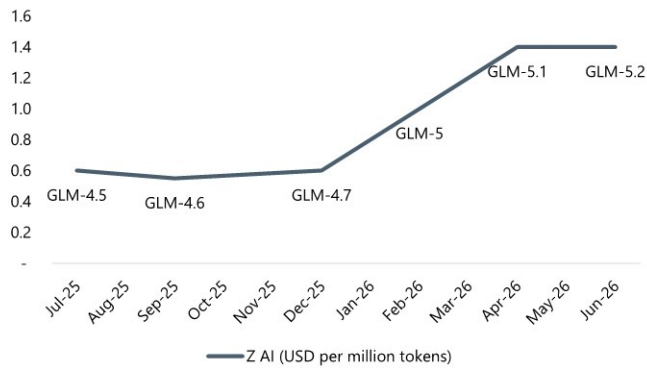
Source: Artificial Analysis, Jefferies

Exhibit 14 - Kimi: Output price



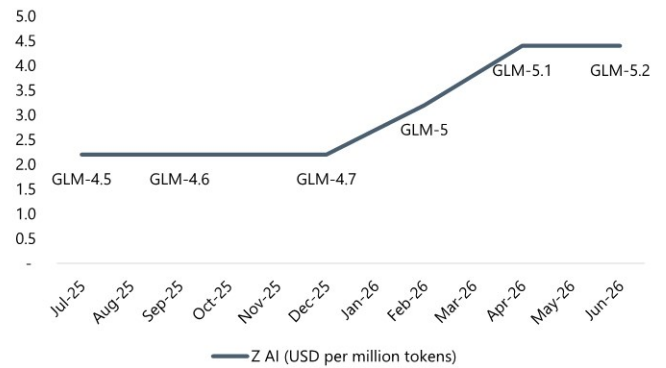
Source: Artificial Analysis, Jefferies

Exhibit 15 - Zhipu: Input price



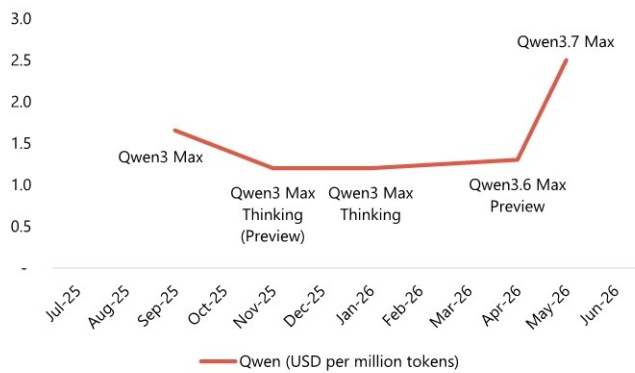
Source: Artificial Analysis, Jefferies
Note: API price is the same across all context lengths in GLM-5.2 vs tiered pricing in GLM-5.1

Exhibit 16 - Zhipu: Output price



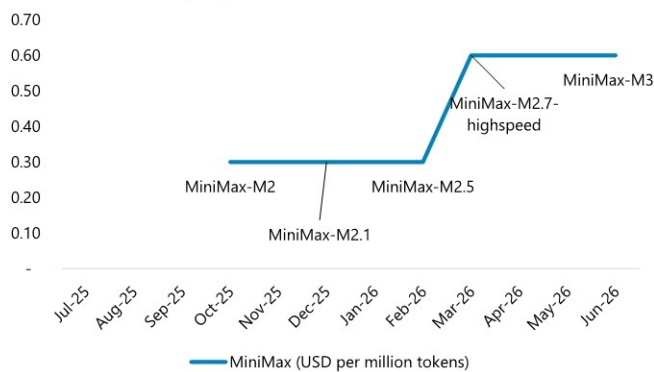
Source: Artificial Analysis, Jefferies
Note: API price is the same across all context lengths in GLM-5.2 vs tiered pricing in GLM-5.1

Exhibit 17 - Qwen: Input price



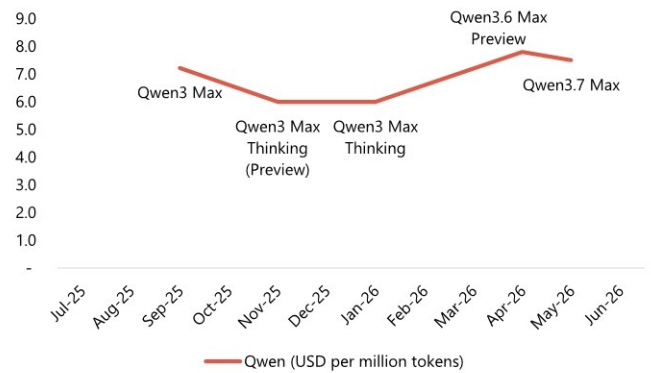
Source: Artificial Analysis, Jefferies

Exhibit 19 - MiniMax: Input price



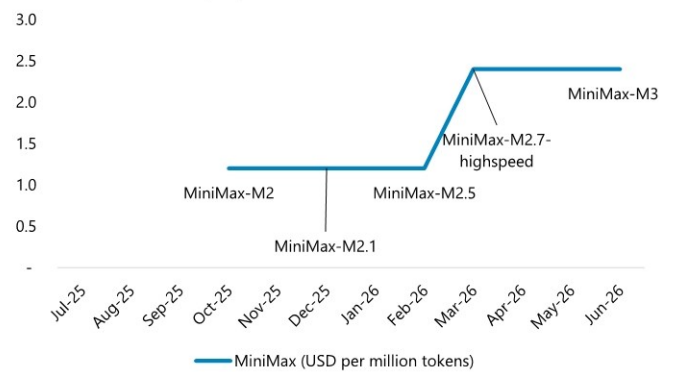
Source: Artificial Analysis, Jefferies
Note: > 512k input tokens for MiniMax-M3

Exhibit 18 - Qwen: Output price



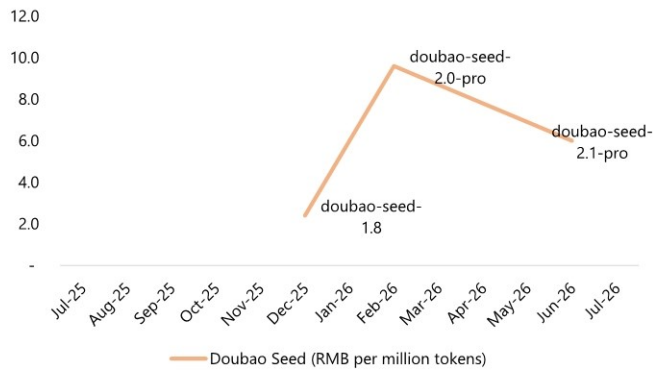
Source: Artificial Analysis, Jefferies

Exhibit 20 - MiniMax: Output price



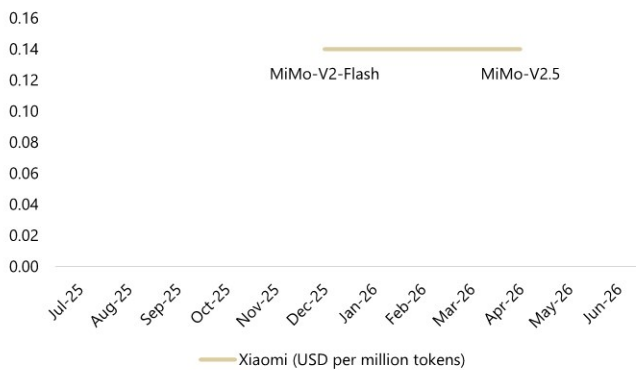
Source: Artificial Analysis, Jefferies
Note: > 512k input tokens for MiniMax-M3

Exhibit 21 - Doubao Seed: Input price



Source: Company, Jefferies
Note: 128k < input tokens <= 256k for doubao-seed-2.0-pro, doubao-seed-1.8

Exhibit 23 - Xiaomi: Input price



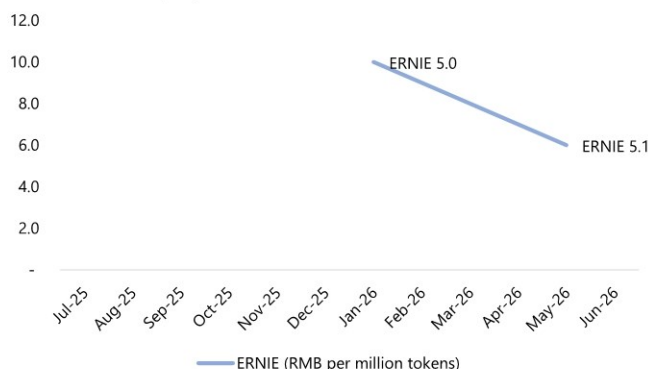
Source: Artificial Analysis, Jefferies

Exhibit 25 - Tencent: Input price



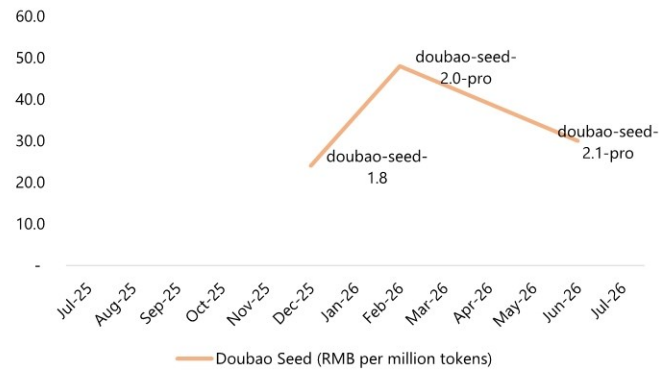
Source: Company, Jefferies

Exhibit 27 - Baidu: Input price



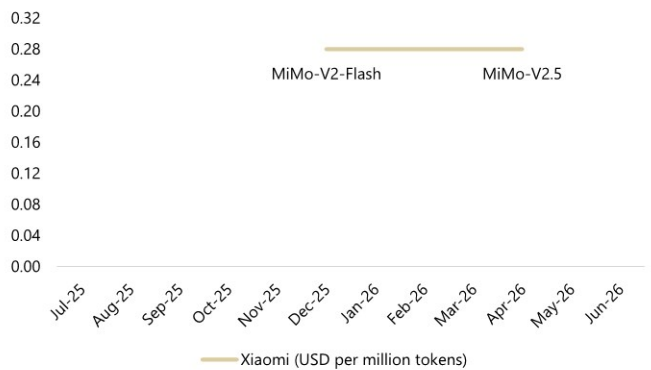
Source: Artificial Analysis, Jefferies
Note: 32k < Input tokens <= 128k

Exhibit 22 - Doubao Seed: Output price



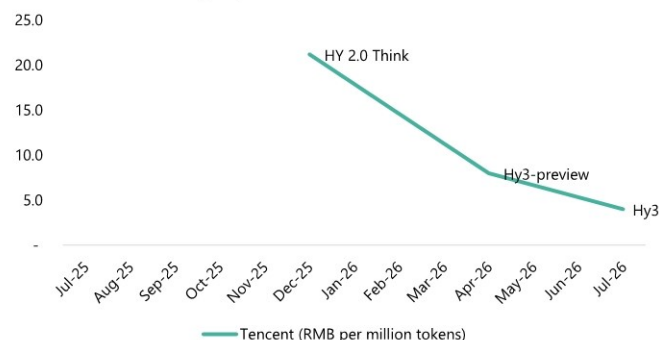
Source: Company, Jefferies
Note: 128k < input tokens <= 256k for doubao-seed-2.0-pro, doubao-seed-1.8

Exhibit 24 - Xiaomi: Output price



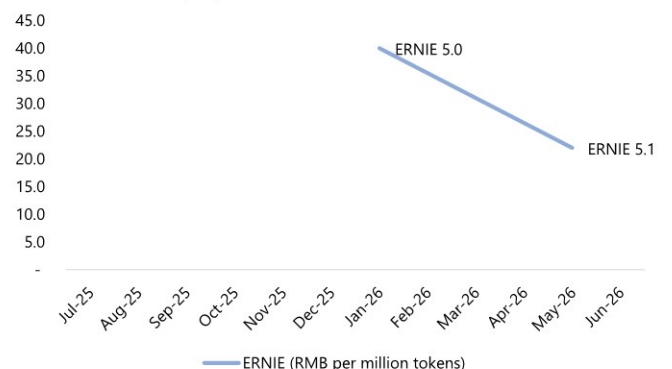
Source: Artificial Analysis, Jefferies

Exhibit 26 - Tencent: Output price



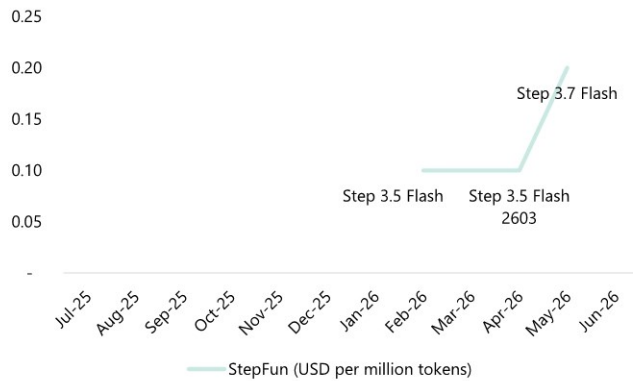
Source: Company, Jefferies

Exhibit 28 - Baidu: Output price



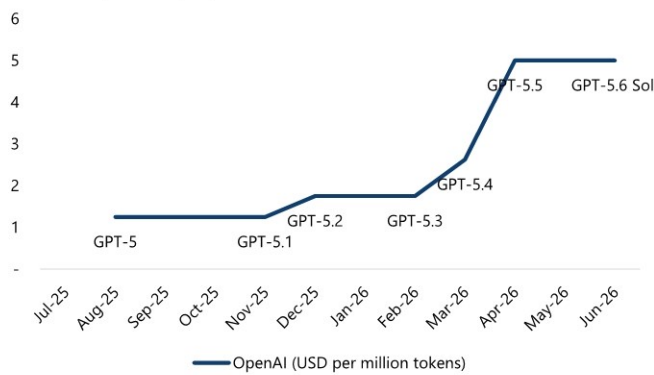
Source: Artificial Analysis, Jefferies
Note: 32k < Input tokens <= 128k

Exhibit 29 - StepFun: Input price



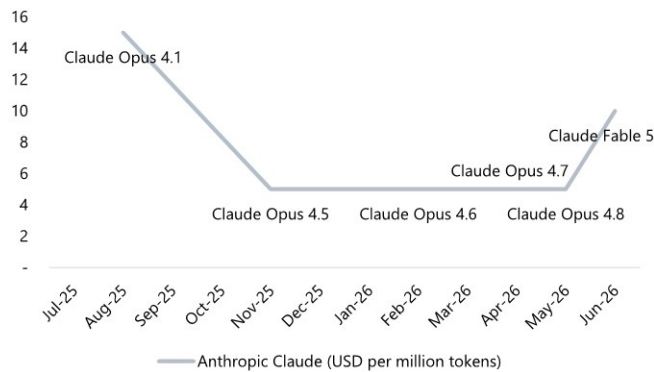
Source: Artificial Analysis, Jefferies

Exhibit 31 - OpenAI: Input price



Source: Artificial Analysis, Jefferies

Exhibit 33 - Anthropic Claude Opus: Input price



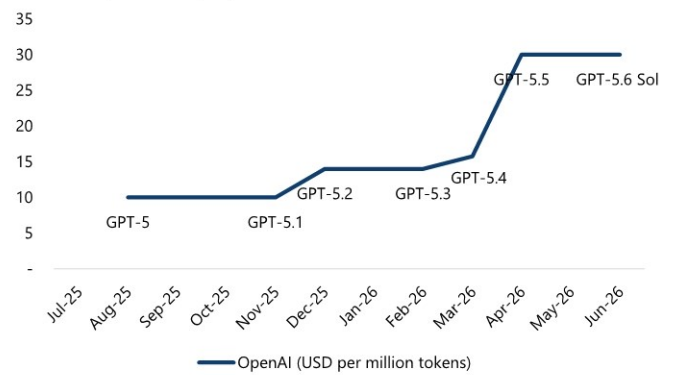
Source: Artificial Analysis, Jefferies

Exhibit 30 - StepFun: Output price



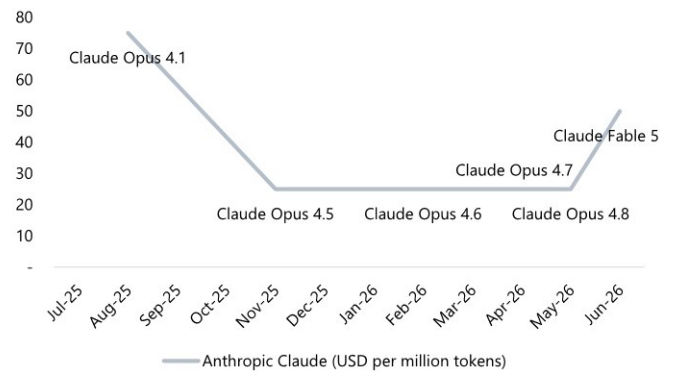
Source: Artificial Analysis, Jefferies

Exhibit 32 - OpenAI: Output price



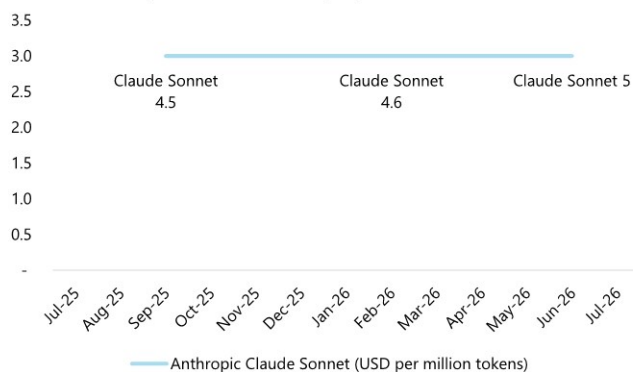
Source: Artificial Analysis, Jefferies

Exhibit 34 - Anthropic Claude Opus: Output price



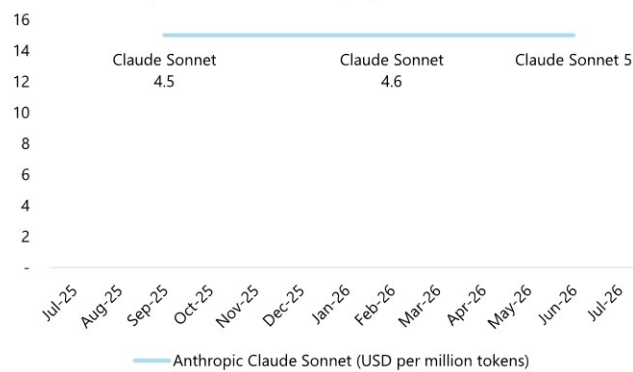
Source: Artificial Analysis, Jefferies

Exhibit 35 - Anthropic Claude Sonnet: Input price



Source: Artificial Analysis, Jefferies

Exhibit 36 - Anthropic Claude Sonnet: Output price



Source: Artificial Analysis, Jefferies

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Company Valuation/Risks

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- Alibaba Group Holding Limited (BABA: \$114.97, BUY)
- Baidu Inc. (BIDU: \$107.24, BUY)
- Kingsoft Cloud (KC: \$9.54, BUY)
- Kuaishou Technology (1024 HK: HK\$43.28, BUY)
- Meitu Inc (1357 HK: HK\$3.96, BUY)
- MiniMax Group Inc. (100 HK: HK\$216.00, BUY)
- Tencent Holdings Ltd. (700 HK: HK\$461.60, BUY)
- Xiaomi Corporation (1810 HK: HK\$26.88, UNDERPERFORM)

Distribution of Ratings

	IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent
BUY	2237	62.63%	387	17.30%
HOLD	1173	32.84%	94	8.01%
UNDERPERFORM	162	4.54%	0	0.00%

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